Mahindra & Mahindra

M&M

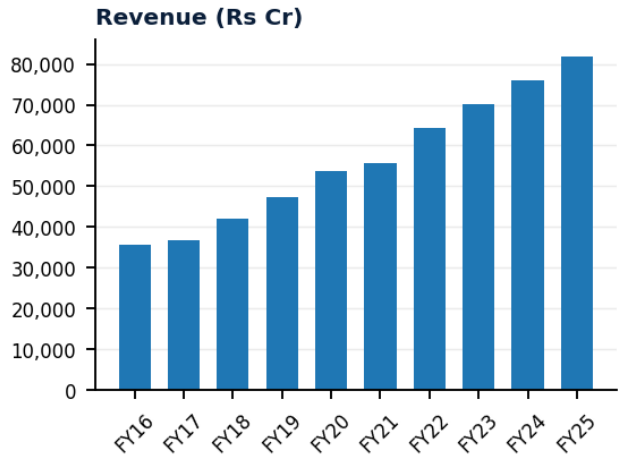
Sector: Automobiles

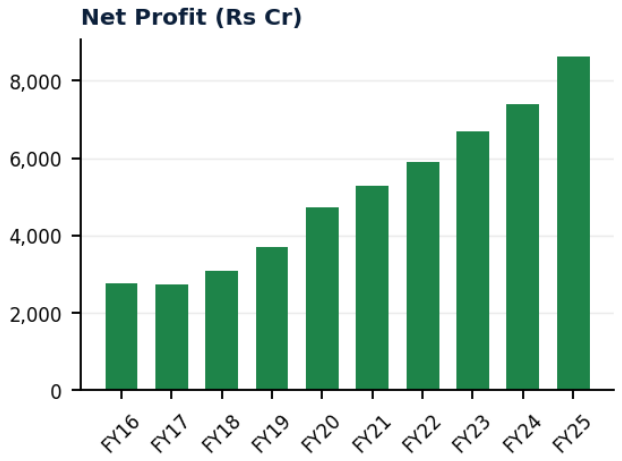
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
81,899	8,637	16.4%

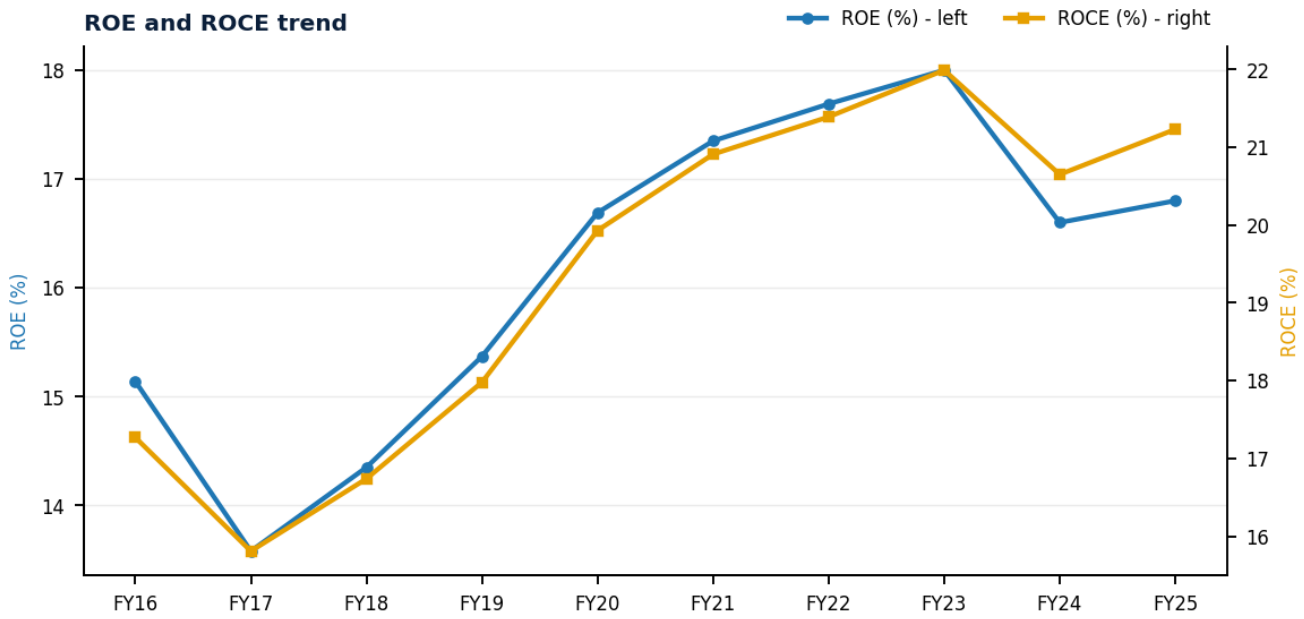
ROE (%)	ROCE (%)	Debt / Equity (x)
16.8%	21.2%	0.10x

10-year Revenue and Net Profit

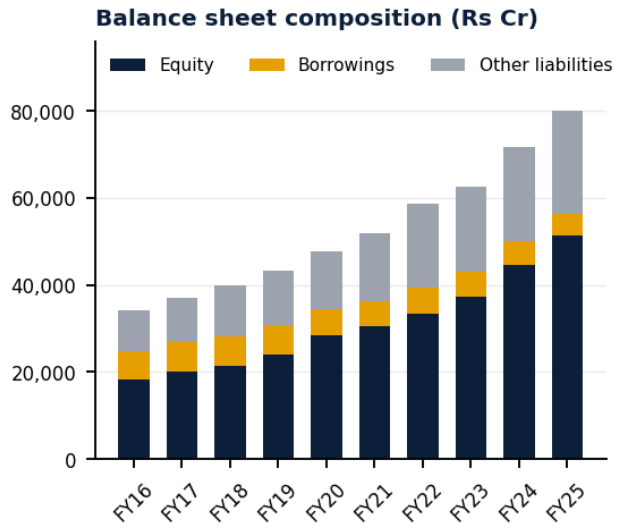


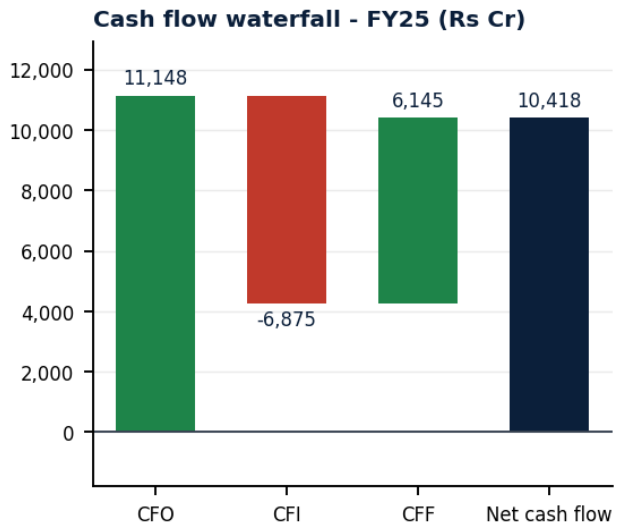


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (89%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (86%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (71%)

Cons - what to watch

- 5-year revenue CAGR of 8.8% is below the sector median of 12.9% (61%)

Capital allocation pattern (FY2025)

Aggressive Expander

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.44)	**Capital Intensive (8.4%)**	**No**	**No**